

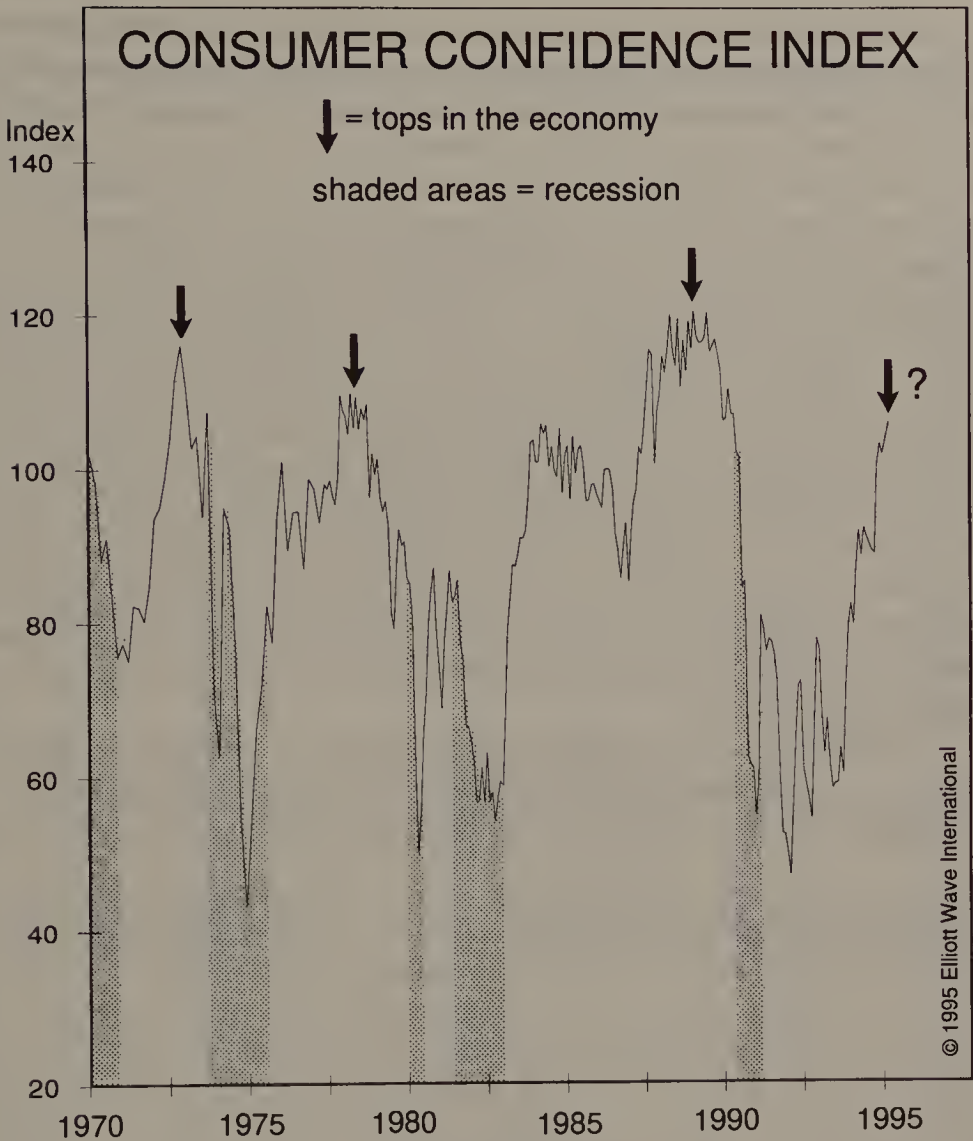


Figure 13-28

Today, after a long bull market in stocks and a resumption of the economic expansion, the average consumer is again optimistic. The last times that consumers were approximately this bold in their willingness to bet on a rosy economic future were in 1969, 1973, 1978 and 1989, all of which were good times to begin preparing for an economic contraction. The fact that the readings so far are below the 1989 high puts the indicator in a position similar to that of 1978, when it was in between two related contractions. Given the uneven economic performance of 1992-1995, the current reading is especially reflective of psychology outrunning reality, and is therefore particularly bearish for the stock market and the economy.